



Explicating the relationship of entrepreneurial orientation and firm performance: Underlying mechanisms in the context of an emerging market

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ABSTRACT

This research examines the mechanisms through which entrepreneurial orientation (EO) affects firm performance in an emerging market context. We argue that EO drives firms to develop the dynamic capabilities of absorptive capacity (ACAP) and boundary-spanning (BS), and that these capabilities enhance firm performance. Moreover, the effectiveness of these knowledge- and network-based dynamic capabilities in mediating the EO-performance relationship is contingent on the institutional conditions firms are exposed to. We test our hypotheses using multi-sourced data on Chinese high-tech firms in business-to-business (B2B) markets. Our results show that ACAP and BS mediate the positive effect of EO on firm performance, and that as the development of market-supporting institutions improves, the mediating effect of ACAP becomes stronger while that of BS weakens.

1. Introduction

Entrepreneurial orientation (EO) reflects the strategic posture of a firm to continuously engage in risk-taking, innovative, and proactive behaviours which will ultimately influence firm performance (Covin & Slevin, 1989; Hoskisson, Covin, Volberda, & Johnson, 2011). While the antecedents, outcomes, and performance contingencies of EO have been extensively researched, theoretical development and empirical investigation regarding the generative mechanisms underlying the EO-performance relationship are currently lacking (Wales, Gupta, & Mousa, 2013). It remains unclear what capabilities firms generate from their EO which in turn enable them to attain positive market performance. Understanding these generative mechanisms requires the examination of the mediators that play a pivotal role in delivering the performance effect of EO (Lumpkin & Dess, 1996; Wales, Gupta, & Mousa, 2013). These mechanisms and their contingencies carry significant business implications for prioritizing resources to the capability developments that deliver performance outcomes for entrepreneurial firms. In this study, we address this knowledge gap by asking: *What are the capability development mechanisms that allow firms to convert their EO into performance outcomes? What environmental contingencies promote/hinder such mechanisms for entrepreneurial firms?*

Recent studies have attempted to identify the missing link between EO and firm performance. For instance, Kollmann and Stöckmann

(2014) examined exploratory innovation and exploitative innovation as mediating variables within the EO-performance relationship. Similarly, other studies have also investigated learning related constructs, such as information acquisition and utilization, to reveal the mechanisms mediating the EO-performance relationship (Keh, Nguyen, & Ng, 2007; Wang, 2008). These studies offer insight into the *knowledge-based capability* through which entrepreneurial firms create value. They suggest that firms with risk-taking, innovative, and proactive behavioural tendencies are likely to seek novel knowledge from their dynamic environments to improve their processes and product offerings, which in turn enhances and sustains their competitiveness.

Another stream of EO research focuses on the institutional context within which entrepreneurial firms operate (Covin & Miller, 2014; Dess, Pinkham, & Yang, 2011). This stream of research highlights that when information and market transactions are not sufficiently facilitated by market-supporting institutions, firms with non-market channels to access critical information and resources will have a competitive advantage over those that do not (Peng & Luo, 2000). Such business environments are commonly found in, but not limited to, emerging markets, where the underdevelopment of market-supporting institutions presents “institutional voids” (Khanna & Palepu, 1997), leaving profit opportunities for those entrepreneurial firms who can effectively integrate and leverage network resources, such as social capital (Covin & Miller, 2014), to bridge these voids. This *network-based capability* of

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